

ENGLISH **LIVE**

49

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 49

6th APRIL, 2017



Separate Illegality & Corporate Structure

Not all 'shell companies' have shady business

The threat of arbitrariness and excess hangs over Indian business today, after the Finance Bill has armed junior taxmen with discretionary powers of search and seizure and with the ongoing crackdown on shell companies. The term shell companies is loaded: some nefarious intent or the other is implied by its very nomenclature. All companies without an operational business are not meant for ulterior purposes. One company's purpose, for example, could be to accumulate shares in a takeover target, without triggering an open offer till the relevant threshold is reached, fully in compliance with the law. Another could be used to hold intellectual property licensed to companies around the world. Yet another's purpose might be to hold a company meant to be spun off after meeting some financial targets. There are any number of legitimate purposes for creating and operating so-called shell companies.

The reform that is required to prevent such companies from being used to anonymise undesirable transactions is a mandatory requirement for companies to declare their beneficial owner, on the lines of the reform brought about by the David Cameron government in Britain. The G20 has been trying to get member countries and other jurisdictions

to adopt the requirement of a unique legal entity identifier. If all companies and persons have a unique identifier, like Aadhaar for Indian residents, the beneficial ownership can be traced along a hierarchy of holding and cross-holding companies. If a company is identified as carrying out money laundering, say, the beneficiary of that activity would become apparent, if such a reform is carried out. The point is to separate illegal transactions from the corporate structure in which it is carried out and to penalise illegality, not damn the corporate structure that has a great many legitimate uses.

Paradoxically, the twin reforms of anonymous electoral bonds and removing an existing cap on corporate donations to political parties encourages the setting up of shell companies for the specific purpose of funding parties.



DISCUSSION ON
6th April (Today)



DISCUSSION ON
11th April (Tuesday)

THE ECONOMIC TIMES
Date : 3rd April, 2017

Punish Drunk Drivers, Not Legal Business

The Supreme Court errs in banning outlets that sell liquor within half a kilometre of a national or a state highway, except in towns with fewer than 20,000 residents. This violates the constitutional right of a lot of people to earn their livelihood without addressing the threat of drunken driving. Bars and restaurants that have obtained a proper licence to ply their trade, which includes serving liquor to patrons, now lose the right to operate just because of their prime location, for which they paid a premium. At the same time, irresponsible drinkers are as free to drive and destroy lives, theirs and others', as they were before. Collectively, social welfare stands reduced.

Banning the sale of liquor near a national or state highway is neither necessary nor sufficient for ending the menace of drunken driving. It is easy to demonstrate the insufficiency bit. If someone is determined to get a drink before setting off on a long drive, the distance of half a kilometre is no deterrence. Smartphone apps would soon sprout up that show the nearest liquor vend, wherever you are. Drunks who stagger out of a party at a home are untouched by the ban, as are those who treat a bottle as a driving accessory.

What is necessary is to prevent people who have alcohol in their blood in excess of a medically determined threshold from driving a vehicle. Stiff penalties, including the scrapping of their driving licence if caught driving under the influence, are one option. It might help to instal breathalysers at public places licensed to serve liquor, to help people check their alcohol levels before they decide to drive. Encouraging a business of temporary drivers who earn good money ferrying drunken would-be drivers in their own vehicles to their destinations is another idea.



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TAX AVOIDANCE

- It is legal
- It is minimizing tax liability by taking unfair advantages of the short comings in tax laws
- It is unfair, unethical
- Takes benefit of loopholes in law
- No imprisonment

TAX EVASION

- It is illegal, criminal
- It is violating the tax laws
- It is fraud
- Deliberate concealment of material facts
- Imprisonment / penalty



FATF & MONEY LAUNDERING AND TERRORIST FINANCING



Financial Action Task Force

- Secretariat is at the headquarters of OECD in Paris.

- FATF is inter-governmental policy making body.
- Established in 1989 during G7 Summit in Paris.
- It established international standards for combating money laundering and terrorist financing.



PANAMA LEAKS

LIVE



- 11.5 million files
- 2.6 TB of Data
- Period from 1977 to 2015
- 29 billionaires in the list
- 140 politicians across the world
- With regard to offshore accounts



German
Newspaper

They analysed
them

Magnitude of documents

MORE ABOUT PANAMA

- Country in Central America
- Panama Canal connects Pacific & Atlantic Oceans

- Capital is Panama City
- Population ... 40 Lakhs

- GDP ... \$ 47 billion
- HDI ... High
- Got independence from Colombia in 1903



MOSSACK FONSECA

TOP 5 OFFSHORE DESTINATIONS

...AS PER PANAMA LEAKS

S. No.	Name of offshore destination	Population	Number of offshore companies
1	British Virgin Islands	28,000	1,13,648
2	Panama	40 Lakhs	48,360
3	Bahamas	3 Lakhs	15,915
4	Seychelles	1 Lakh	15,182
5	Niue	1,200	9,611



WHAT IS SO SPECIAL ABOUT OFFSHORE DESTINATIONS / TAX HAVENS?



LIVE

- 1 Almost one third to half of the international trade takes place through these tax havens.
- 2 OECD estimates that the annual loss in corporate taxes is around 4% to 10% of total corporate tax i.e., from \$100 bn - \$250 bn every year.
- 3 They are primarily used for tax avoidance through transfer pricing and other mechanisms.
- 4 Primarily used as conduits for money laundering
- 5 These are no tax / low tax destinations
- 6 Home for Shell companies / Brass-Plate companies with nominee directors
- 7 Secrecy is the hallmark of operations
- 8 Possibility of hiding the beneficiary directors
- 9 Minimum disclosure requirements
- 10 Avenues for legalising black money

Separate Illegality & Corporate Structure

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- Not all *'shell companies'* have *shady business*
- The threat of *arbitrariness* and excess *hangs* over Indian business today , after the Finance Bill has armed junior taxmen with *discretionary* powers of search and *seizure* and with the ongoing *crackdown* on shell companies.
- The term shell companies is *loaded*: some *nefarious* intent or the other is implied by its very *nomenclature*.
- All companies without an operational business are not meant for *ulterior* purposes. One company's purpose, for example, could be to accumulate shares in a takeover target, without *triggering* an open offer till the relevant *threshold* is reached, fully in *compliance* with the law.
- Another could be used to hold intellectual property licensed to companies around the world. Yet another's purpose might be to hold a company meant to be *spun off* after meeting some financial targets. There are any number of *legitimate* purposes for creating and operating so called shell companies.
- The reform that is required to prevent such companies from being used to *anonymise* undesirable transactions is a *mandatory* requirement for companies to declare their beneficial owner, on the lines of the reform brought about by the David Cameron government in Britain.
- The G20 has been trying to get member countries and other jurisdictions to adopt the requirement of a *unique* legal entity identifier. If all companies and persons have a unique identifier, like Aadhaar for Indian residents, the beneficial ownership can be traced along a *hierarchy* of holding and cross-holding companies.
- If a company is identified as carrying out money laundering, say , the beneficiary of that activity would become *apparent*, if such a reform is carried out. The point is to separate illegal transactions from the corporate structure in which it is carried out and to penalise illegality , not *damn* the corporate structure that has a great many legitimate uses.
- *Paradoxically*, the twin reforms of anonymous electoral bonds and removing an existing cap on corporate donations to political parties encourages the setting up of shell companies for the specific purpose of funding parties.



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Learning Space

Not all '*shell companies*' have *shady business*

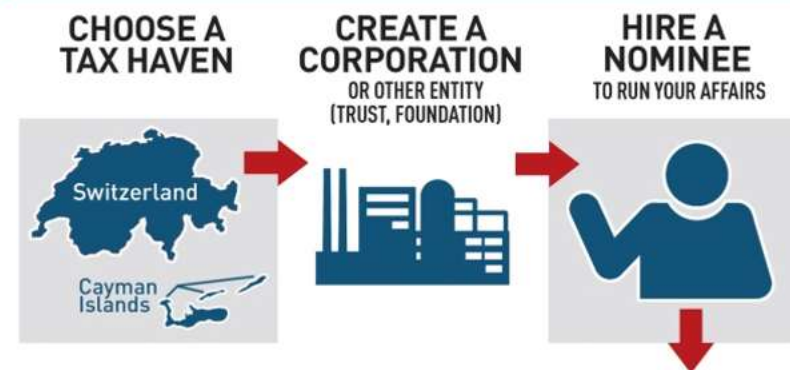


Shell Company

A non trading firm formed as a vehicle with the purpose of:

- *Raising funds before starting operations.*
- *Attempting a take over.*
- *Going public.*
- *Forming a front for an illegal business.*

How to create a **shell company**





News Report



**Directorate of
Enforcement**

- The Enforcement Directorate (ED) has arrested two persons as a part of its crackdown on **500 shell companies** generating huge amounts of black money.
- Under the provisions of the Prevention of Money Laundering Act, this decision was taken.
- This is with the suspicion that dubious and suspicious firms are believed to be the backbone of black money in the country.



Shady Business

Some of our politicians are charged with **shady business** dealings.



Shady Business

Dishonest or illegal activities



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Arbitrary

*The Turkey government is taking several **arbitrary** decisions in recent times, which are against the basic tenets of democracy.*



Arbitrary

Based on random choice or personal whims rather than any reason or system



Hang



Hang



*Upon reboot, however the system **hung** at the windows start-up screen.*

Hang

Come unexpectedly to a state in which no further operations can be carried out



Discretionary

*There is an increase in the
discretionary expenditure by
the government.*



Discretionary

Decided by officials and not fixed by rules or regulations



Seizure

*Through amendments to finance bill, sweeping powers were given to the Income Tax Officials and they can search and **seize** the property without recording valid reason.*



Seizure

The action of confiscating property by warrant / legal right.



Crackdown

*In order to increase the tax to GDP ratio, government in recent times, resorted to **crackdown** on tax evaders.*



Crackdown

A series of severe measures to restrict undesirable or illegal behaviour



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The term shell companies is *loaded*: some *nefarious* intent or the other is implied by its very *nomenclature*.



Loaded

*It is very difficult to win,
when playing with a
loaded dice.*



Loaded

Weighted or biased towards a particular outcome



Nefarious

Organized crime syndicates, most of the times take up **nefarious** activities and the intelligence agencies are finding it difficult to track their activities.



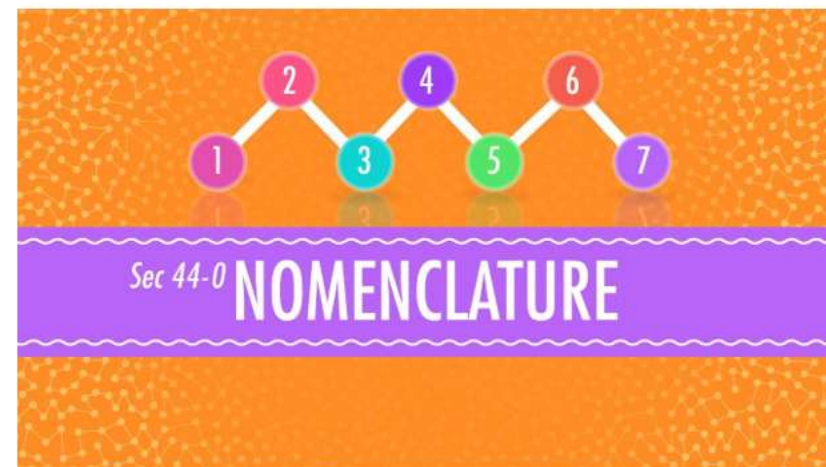
Nefarious

Morally bad /wicked /criminal.



Nomenclature

*The most important rule of **nomenclature** is that the name of the substance should be unambiguous.*



Nomenclature

Choosing or devising of names for things



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Ulterior

*The actions of some of
our neighbours are
sometimes with
ulterior motto.*



सत्यमेव जयते

Ulterior

Intentionally hidden/Existing beyond what is obvious or admitted



Trigger

*The police crackdown
on the protestors in
Deraa **triggered** the
political crisis in Syria
in 2011*



Trigger

An event or situation, etc. that causes something to start/normally initiation for something bad



Threshold

*In India the **threshold** for imposition of Income Tax is Rs. 2,50,000*



Income Tax Department
Government of India

Threshold

The level at which something begins to happen



Compliance



WTO rules must be **complied** by the member nations

MNCs should act in **compliance** with the environmental laws of the country



Compliance

The act of obeying an order, rule or request



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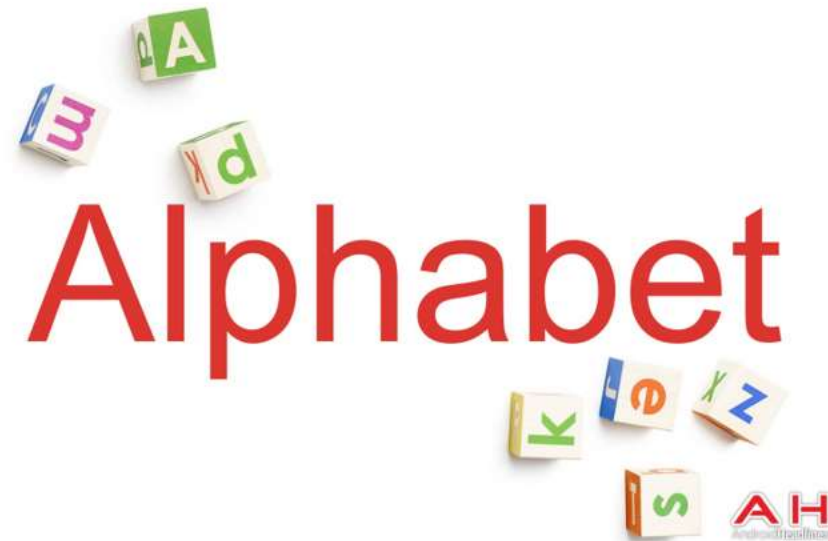
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Spin-off

*The multinational giant Alphabet announced plans to **spin-off** its search business.*



Spin-off

Turn a subsidiary into a new and separate company



Legitimate

*To control black money the government must crack down on illegitimate activities and give thrust to **legitimate** activities/businesses.*



Legitimate

Conforming to the law or rules.



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Anonymous

*An **anonymous** caller to the police informed about some extremist activities.*



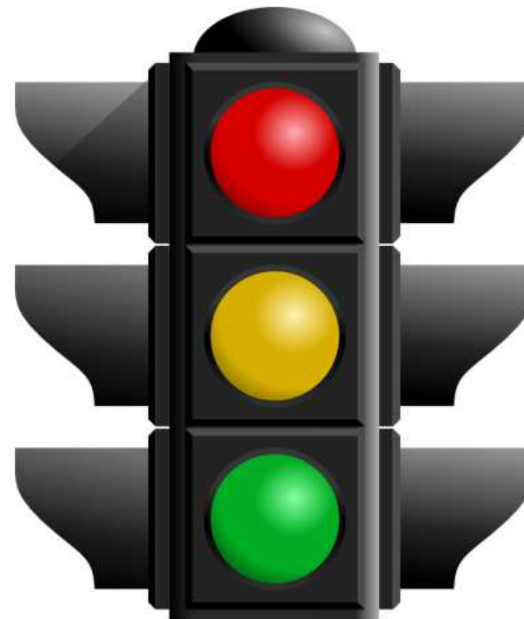
Anonymous

Action done by someone, but the name is not known or not made public



Mandatory

It is **mandatory** to obey
traffic signals



Mandatory

Must be done, because of law of the land



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Unique

*Each and every human being has got a **unique** genetic code except in case of identical twins.*



Unique

Existing as one of its type



Hierarchy

*In our country, the biggest problem is the caste **hierarchy** coupled with gender inequality.*



Hierarchy

A system in which members of an organization or society are ranked according to relative status or authority.



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Apparently

*Apparently, it is
going to rain today.*



Apparently

Something seems to happen, although it is not certain



Damned

*The employee certainly feels like he is being unfairly **damned**.*



Damned

Be doomed to misfortune or failure/criticise strongly



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Paradoxically

The strength of capitalism is, paradoxically, also its weakness.



Paradoxically

It is absurd / self contradictory way

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The Supreme Court errs in banning outlets that sell liquor within half a kilometre of a national or a state highway, except in towns with fewer than 20,000 residents. This violates the constitutional right of a lot of people to earn their livelihood without addressing the threat of drunken driving. Bars and restaurants that have obtained a proper licence to ply their trade, which includes serving liquor to patrons, now lose the right to operate just because of their prime location, for which they paid a premium. At the same time, irresponsible drinkers are as free to drive and destroy lives, theirs and others', as they were before. Collectively, social welfare stands reduced.



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